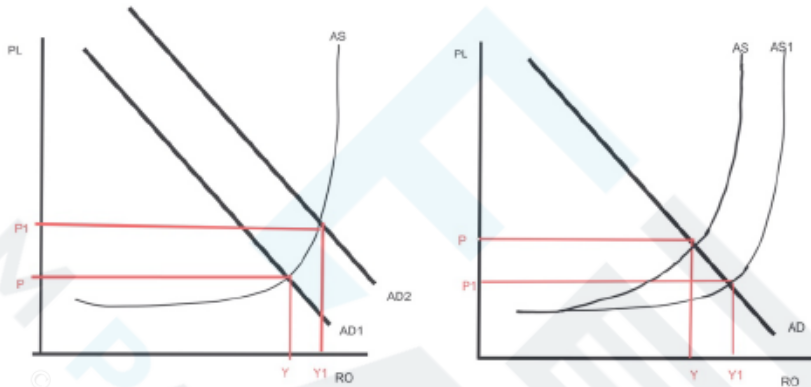
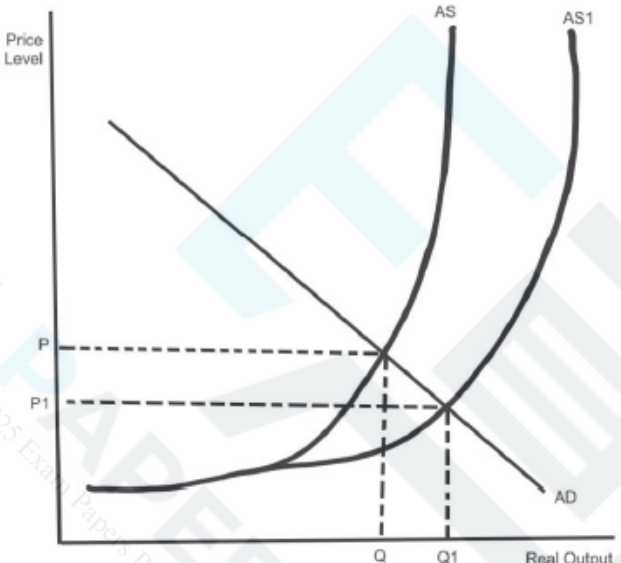


Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2 Knowledge/understanding: Accurate diagram with correct labels on axes (1) and lines (1)  Application: Correct shift of line(s) (1) showing change in price level and/or real output (1) For example: N.B. Other AS curves are acceptable. Allow outward shift of both AD and AS.	(4)
(b)	The only correct answer is A <i>B is not correct because it is not infrastructure</i> <i>C is not correct because it is spending on salaries, not infrastructure</i> <i>D is not correct because it is spending on welfare, not infrastructure</i>	(1)

Q2.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 1, Analysis 1 Knowledge 2 marks e.g. • Aggregate supply will increase (1) • Improvement in UK's capital (1) • Increase in productivity/efficiency of UK economy (1) • Correct diagram illustrating an increase in AS (2), e.g.:  Application 1 mark, e.g. • Reduce journey times by as much as 50% • £56bn spending Analysis 1 mark for linked development e.g. • Faster journey times means people can get to work quicker, increasing their productivity • Moving freight more quickly will increase efficiency for firms	(4)

Question Number	Answer	Mark
(b)	The only correct answer is B <i>A is not correct because it is a decision by the government to spend this money</i> <i>C is not correct because this is capital, not current, expenditure</i> <i>D is not correct because this is not an example of transfer payment</i>	(1)

Q3.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge: 1 mark for identification of a possible reason and 1 mark for its relevance to a fall in the value of the currency. Possible reasons: • Fall in demand for peso (1) with reason (1) • Increase in supply of peso (1) with reason (1) • Current account balance: ◦ Fall in the value of X (1) because export prices have fallen (1) ◦ Rise in the value of M (1) because of economic growth (1) • Decrease in interest rates (1) in Chile relative to other countries (1) • Fall in FDI (1) with reason e.g. reduced foreign investment in Chilean mining (1) • Change in hot money flows (1) with reason e.g. speculative selling of peso (1) • Rise in value of other countries' exchange rates (1) with a change in relative rates (1) • Relatively high inflation in Chile (1) compared to other countries with which it trades (1)	
	Application: 2 marks for data references e.g. • Copper prices have fallen, Fig. 1 (1) e.g. to \$5000 (1) • The Chilean peso has decreased in value (1) • Calculation based on data (award a range of answers because the data is given for the whole year) e.g. 0.2 to $0.14 = 30\%$ fall (or similar) (1 + 1) • Inflation 5% in Chile (1)/above 2-4% target (1)/ e.g. because of higher unit labour costs (implied by high truck drivers' wages, Extract B) (1) • Fall in FDI as mining dries up, therefore reduced demand for peso • Application of an exchange rate diagram e.g. with peso on vertical axis with shift (1) Analysis: • 1 mark for explanation of the process linking to the cause to the identified change e.g. fall in copper prices means that the value of exports fall because demand is price inelastic (1) or imports rise in value because of economic growth sucking in imports (1) diagram showing shifts in demand or supply of pesos linked to correct explanation (1) NB only award 1 mark in total for use of a diagram	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 NB an answer might provide positive externalities as KAA and negative externalities as evaluation NB do not award effects on copper mining firms, unless an indirect effect. NB an answer which does not relate both to firms and communities is limited to 5/6 KAA marks. NB do not award externalities themselves, e.g. pollution, the environment. Award the <i>impact</i>. Knowledge and Analysis Knowledge/ implicit understanding of externalities (1) e.g. knowledge that externalities are an effect on third parties, or outside (or not accounted for by) the market mechanism, or the difference between private and social costs or benefits Firms (in businesses other than mining) Points showing the impact on firms might include: • farms lacking water because mining companies are using it (1+1) • high demand for energy means that other firms will face high energy costs (1+1) • high exchange rate can cause problems for other exporting firms (1+1)	

	Communities Points showing the impact on communities might include: • problems of water access for households (1+1), • large-scale transport causes noise, air pollution (1+1), • people have to move away to find work (social dislocation) (1+1) • impact on employment and incomes as mining declines (1+1) • impact on firms that supply the mining sector (1+1) Some impacts could be seen as firms and communities, e.g. impact on wider economy of higher wages as firms have to compete with unionised highly paid copper miners for employment. Application: • Externality diagram illustrating negative or positive impact using marginal analysis (up to 2 marks: 1 mark for correct MSC and MPC drawn, 1 mark for correct equilibrium shown/deadweight loss) • Water has to be pumped 200km (Extract B paragraph 4) which uses fossil fuels/is noisy/ugly/affects tourist areas • Mines are deeper and use more fuel (carbon emissions have impact on climate and therefore on welfare of many) • Desalination plants might affect other firms or consumers (this might be negative or positive)	
	Evaluation (2 marks for any relevant point, two points 1 +1): • Positive externalities, e.g. ◦ impact of local multiplier on economy, improved infrastructure affects other industries ◦ Improved wages and working conditions for workers (in businesses other than mining) ◦ The copper mining has already helped to fund improvements in welfare, such as the financial system and pensions ◦ Benefits of higher value of currency, e.g. terms of trade improvement • Difficult to know how large the externalities are or who is bearing the cost • The benefits might outweigh the costs, e.g. reduction in poverty, improved fiscal powers, strength of financial markets, improved local infrastructure • Other standard evaluation points, e.g. Extract B a drought has made the problem more severe, time to acquire environmental impact assessments (Extract B paragraph 5) might not be a reliable indicator	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 • Link between falling copper prices and falling incomes and government revenue e.g. dramatic loss of government revenue from peak of \$11.5 billion • Exposure to risk e.g. high proportion of GDP and exports dependent on copper so this could cause risk of falling incomes • Price volatility e.g. might cause reduced FDI/investment • Impact of declining terms of trade might be used • Successful exports of copper might force up the exchange rate, other 'Dutch disease' issues e.g. impact on non-copper sector • Falling demand for copper might cause peso to fall in value, causing declining terms of trade/cost push inflation • May use diagram to illustrate effects of low PES, PED • Award use of concepts or theories such as Prebisch-Singer, with link to terms of trade and changing world incomes. • Firms may close down e.g. Extract A lines 8-9: award a microeconomics diagram showing shutdown point NB Do not award any parts of answers which are related to externalities A KAA point referring to changes in tax revenues can only be awarded Level 3 if a specific link is made to the source of the tax revenue e.g. – corporation tax or profits of a state-owned enterprise For a Level 3 answer there must be reference to dependency rather than just falls in copper prices, and the wider economy rather than just copper mining firms	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 - Advantages of copper dependency for Chile's economy: - Copper dependency is an advantage when copper prices are high e.g. they have been high for a prolonged period, with many advantages - Use of data to support this, e.g. \$11.5 bn a year tax revenue, or percentage changes in prices Figure 1 - Low national debt, falling levels of poverty, inward direct investment - Other industries thriving e.g. salmon industry - Chile's economy 'best run in the region' and has financial strength to overcome copper price changes, relative to other countries who are dependent on primary products e.g. Venezuela - The fall in the exchange rate corrects the problem of over dependency - Copper prices are far less volatile than 2007-2011	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of policies: Microeconomic effects may include: • fiscal, e.g. 'mildly expansionary policies' such as cutting income tax will increase real wages • monetary e.g. cutting interest rates can reduce the costs of borrowing for individuals and firms. • supply side policies, e.g. privatisation, free trade can make markets more competitive • growth and development strategies e.g. education, debt relief etc. can further alleviate poverty • price controls Macroeconomic effects may include: • Cutting interest rate might cause the peso to further decrease in value, which would cause inflation / increase the value of exports leading to current account improving • Privatisation or other supply side policies can increase international competitiveness NB for a Level 4 response there must be reference to both economic growth (e.g. rising incomes) and economic development (e.g. longer life expectancy through improved living standards) and a focus on effects for Level 3 and above. 9 marks for evaluation – might include: • Expansionary fiscal policies might involve an improvement in the redistribution of income • Objectives might conflict, e.g. cutting interest rates can cause inflation or widen inequality, or increased government spending to produce growth might cause inflation (e.g. Phillips Curve) • Policies might conflict, e.g. increasing length of time to gain a permit to reduce externalities can cause a negative supply side impact e.g. by raising production costs for firms.	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 This mark scheme is based on an increase in I, but answer can be given from the point of view of a decrease Up to 16 marks for effects: Microeconomic effects may include: • Effects on workers – higher incomes, more jobs • Effect on firms, e.g. increase in productivity, or for firms that produce capital goods, a change in demand • Increase in demand as consumer and business confidence improves • Improved quality of life as a result of research into and development of products Macroeconomic effects may include: • Shift (increase) in AD, with multiplier effects, increasing real GDP • Shift (increase) in AS increasing capacity e.g. through investment in education (Extract A paragraph 5) (LRAS shift only, may be implicit) • Inflation, if linked to expansionary macroeconomics policies • Balance of payments – e.g. effects of inward FDI: short term improvement on financial account, long term impact on current account Award Keynesian and Classical approaches with equal weight. The opposing viewpoints may be used as evaluation. NB a Level 4 answer refer to <i>changes in</i> investment rather than levels. This may be implicit e.g. through a fall in AD NB do not award for impact other than on Chile. Do not award for causes rather than effects.	
	Up to 9 marks for evaluation points include: • Investment in capital might decrease employment • Investment in human capital e.g. education in Extract A, is hard to measure in terms of effectiveness • Data points to both increases and decreases in investment. Other forms of injection into the circular flow might be more sustainable, e.g. G • Depends if the investment is internal or FDI as to the effects on the balance of payments • Depends on whether there is a demand deficiency (Keynesian viewpoint) or failings in the supply side	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning. Evaluation recognises different viewpoints and can be critical of the evidence provided.

Q4.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge/Understanding: Identifying data 0.95 & 0.75 (1) Application: • Correct percentage change formula (1) • Correct data inputted into formula (1) Analysis: Calculation of the percentage change in the exchange rate: $0.75 - 0.95 / 0.95 \times 100 = -21\% \text{ (2)}$ N.B. award full marks for correct answer between -21% and -21.1% NB If no reference to minus/fall/decrease then maximum 4 marks	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two factors (1+1), e.g. • falling oil prices • falling commodity prices • changing relative exchange rates • government fiscal tightening • low consumer or business confidence • increase in savings Analysis: 2 marks for linked explanation of how these explain the fall in Eurozone inflation (1+1), e.g. • Falling oil prices in the world economy reduce key costs of production such as transportation, reducing prices of many products in the economy Application: 2 marks (1+1) for reference to the data/candidates' own knowledge, e.g. • From figure 2, Eurozone inflation 0.1% in 2015 (1) • ECB predicts Eurozone inflation to rise 'by just 1 per cent in 2016' (extract A) (1) • Figure 2 shows disinflation occurring (1) • Inflation fell from just over 3% in 2011 (1) to less than 0.25% in 2015 (1) Evaluation: 2 marks for evaluation (1+1 / 2) • Inflation likely to rise in the future, with ECB expecting 1.6% in 2017 • Oil prices are very volatile and could easily rise rapidly due to world events such as instability in the Middle East • Rising GDP in the Eurozone may mean more demand-pull inflation in the future • Depends on extent of fiscal tightening by government • Oil prices a significant cost of production for businesses	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2, Likely impacts on the current accounts include: • Reduced demand for Eurozone exports as they appear more expensive when converted into other currencies. • Increased demand for Eurozone imports as they appear cheaper when converted into other currencies.	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Euro may not have appreciated against all currencies. • Euro may have appreciated against currencies of countries who do not receive many Eurozone exports. • Magnitude discussion • May change in the long term • Marshall-Lerner condition • J-curve effects • Non-price factors may be more important	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4, ECB QE programme is effective: • Explanation of process of QE • should encourage banks to increase lending and thus hopefully increase consumption/investment • Inflation/GDP may well have been much lower without QE • Confidence of markets would have been much lower without QE • QE programme to be extended for a further 6 months • Lower interest rates encourages consumption/investment, thus increasing AD and therefore inflation • Low government bond yields for Eurozone countries • Depreciation of the Euro affecting X-M NB One side of this argument should count as KAA and the opposing argument as Evaluation	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 ECB QE programme isn't effective: • Inflation likely to remain below target into at least 2017 • Low inflation is largely down to factors outside the central bank's control (e.g. oil prices) • Lack of confidence among firms and consumers meaning they are not responding as the ECB would like to the QE programme • Banks are still reluctant to lend money to firms and consumers • Time lags • Extension of QE programme suggests that it hasn't worked • Other policies may be more effective NB One side of this argument should count as KAA and the opposing argument as Evaluation	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

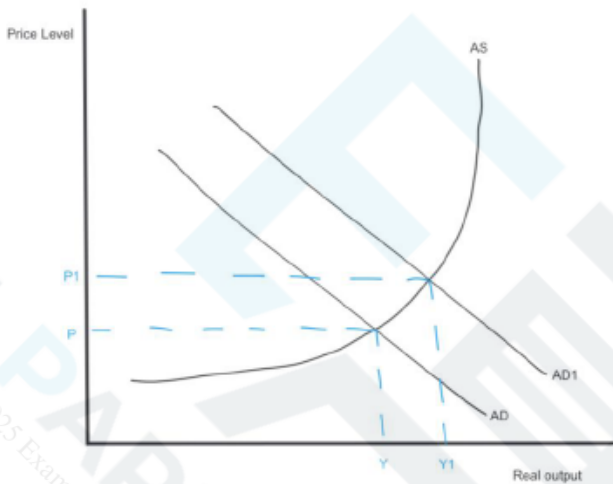
Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Potential policies may include: • Fiscal policies, e.g. reduced corporation tax to increase investment and therefore increase AD • Supply-side policies, e.g. increased investment in education to create a more highly-skilled and therefore more productive workforce N.B. Candidates may discuss more than one of each type of policy N.B. Candidates must discuss both fiscal and supply-side policies for level 3	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 Evaluation of the policies, e.g. - Governments in many Eurozone countries are having to focus on reducing national debt and can't afford policies such as tax cuts - Supply-side policies take a long time to have an impact on the economy	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Q5.

Question Number	Answer	Mark
(a)	Application 2 Application 2 marks for, e.g. • Correct rightward shift in AD: (1) • Correct new equilibrium point showing higher price level and higher real output (1)  NB Allow shift in AS curve to the right with lower price level and higher real output (1 + 1)	(2)

Question Number	Answer	Mark
(b)	Knowledge 1 Knowledge/understanding 1 mark for, e.g. • Tax on income / earnings (1) • Tax on business profits (1)	(1)

Question Number	Answer	Mark
(c)	C	(1)

Q6.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding 1 mark for identifying one relevant factor, e.g. • Expected inflation rate (1) • Confidence (1) • Growth rate (1) • House prices (1) Application 1 mark for reference to the chart, for e.g. • Global Financial Crisis of 2008 (1) • Interest rate has decreased from 5.5% in 2008 to 0.5% in 2009 or has decreased by 5 percentage points (1) • Brexit decision 2016 (1) Analysis 1 mark, e.g. • Consumer and business confidence: can indicate turning points in the business cycle (1) • GDP growth rate and spare capacity: ensure that AD grows in line with productive potential (1) • House prices and share prices: that help decide household wealth, which translates through to borrowing and spending (1)	(3)

Question Number	Answer	Mark
(b)	The only correct answer is C A is not correct because quantitative easing will increase AD and therefore economic growth B is not correct because quantitative easing increases the money supply as the central bank buys government bonds D is not correct because quantitative easing would lead to increase in AD and a fall in the level of unemployment as real output increases	(1)

Q7.

Question Number	Answer	Mark
(a)	Knowledge 1, Analysis 1 Knowledge 1 mark e.g. - Fall in UK economic growth (1) - Reduction in UK business confidence (1) Analysis 1 mark for linked development e.g. - Fall in growth means economy may need more government support for longer to ensure stable growth (1) - Less business confidence likely to lead to less private sector investment and so government may need to counteract this (1)	(2)

Question Number	Answer	Mark
(b)	Knowledge 1, Analysis 1 Knowledge 1 mark e.g. - National debt will continue to increase (1) Analysis 1 mark for linked development e.g. - Running a budget deficit means expenditure is greater than tax revenue (1) - Government will have to finance a budget deficit by borrowing money (1)	(2)

Question Number	Answer	Mark
(c)	The only correct answer is B <i>A is not correct because this is monetary policy not fiscal policy</i> <i>C is not correct because this would involve a budget deficit</i> <i>D is not correct because this is monetary policy not fiscal policy</i>	(1)

Q8.

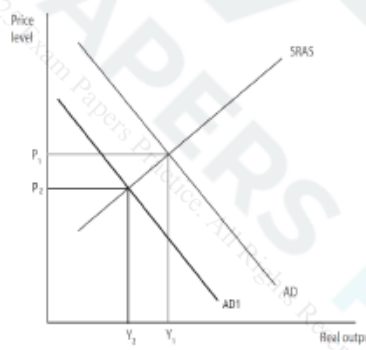
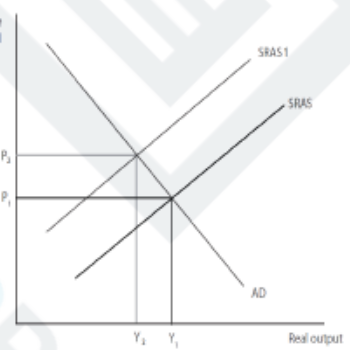
Question Number	Answer	Mark
(a)	The only correct answer is D <i>A is not correct because exports is an injection into the circular flow of income</i> <i>B is not correct because government spending is an injection into the circular flow of income</i> <i>C is not correct because investment is an injection into the circular flow of income</i>	(1)

Question Number	Answer	Mark
(b)	Application 2 1.5 X 800 billion (1) = 1 200 billion / \$1 200 billion Award two marks for correct answer Award 1 mark if candidate has put \$1 200	(2)

Question Number	Answer	Mark
(c)	Knowledge 1, Analysis 1 Knowledge/understanding (1): - Identify increase in national debt - Definition of national debt Analysis: 1 mark for linked development: e.g. - Fiscal deficit means spending is greater than taxation - The government will need to borrow more money to fund this spending NB Analysis must be linked to national debt	(2)

Q9.

Question Number	Answer	Mark
(a)	Knowledge 1 Knowledge/understanding: 1 mark for definition, e.g. • Cost of borrowing (1) / • Reward for saving (1)	(1)

Question Number	Answer	Mark
(b)	Application 2 Application: 2 marks for, e.g. • Correct leftward shift of AD (1) • Correct new equilibrium point (1) OR • Correct shift of SRAS (1) • Correct new equilibrium point (1)  	(2)

Question Number	Answer	Mark
(c)	The only correct answer is B A is not correct because contractionary fiscal policy involves the government increasing tax rates and reducing government spending C is not correct because expansionary fiscal policy involves the government reducing tax rates and increasing government spending D is not correct because an expansionary monetary policy involves reducing interest rates and increasing asset purchases (quantitative easing)	(1)

Q10.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 Arguments that cutting taxes will positively impact the economy: • Firms will have more profit to reinvest into their companies, therefore increasing investment, aggregate demand, and therefore output • Consumers have higher disposable income so consumption will increase • Greater injections into the circular flow of income • Less withdrawals form the circular flow of income • Relevant AD/AS diagram illustrating an increase in AD • Increase in size of multiplier • Less incentive for tax evasion/avoidance Arguments that cutting taxes will negatively impact the economy: • Firms may not reinvest money, many other factors affect investment decisions- e.g. confidence • Consumers may save any extra disposable income, thus withdrawing it from the circular flow of income • Likely to result in higher government debt leading to increased crowding out • Government will have less money to spend on infrastructure/education etc. that may negatively affect economic growth One side of the argument should count as KAA and the other as EV.	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.